

**SUBSTITUTE FOR
HOUSE BILL NO. 6127**

A bill to amend 2019 PA 152, entitled
"Lawful internet gaming act,"
by amending sections 14 and 16 (MCL 432.314 and 432.316), section
16 as amended by 2024 PA 142.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 14. (1) Except for an internet gaming operator that is an
2 Indian tribe, an internet gaming operator is subject to a graduated
3 tax on the adjusted gross receipts received each calendar year by
4 the internet gaming operator from all internet gaming it conducts
5 under this act as set forth below:

6 (a) For adjusted gross receipts less than \$4,000,000.00, a tax
7 of 20%.

8 (b) For adjusted gross receipts of \$4,000,000.00 or more but



1 less than \$8,000,000.00, a tax of 22%.

2 (c) For adjusted gross receipts of \$8,000,000.00 or more but
3 less than \$10,000,000.00, a tax of 24%.

4 (d) For adjusted gross receipts of \$10,000,000.00 or more but
5 less than \$12,000,000.00, a tax of 26%.

6 (e) For adjusted gross receipts of \$12,000,000.00 or more, **a**
7 **tax of** 28%.

8 (2) An internet gaming operator that is an Indian tribe is
9 subject to the payment requirements under section 7(1)(f).

10 (3) An internet gaming operator shall pay the tax or payment,
11 as applicable, under subsection (1) or (2) on a monthly basis. The
12 payment for each monthly accounting period is due on the tenth day
13 of the following month.

14 (4) Except as provided in this act and section 12(17) of the
15 Michigan Gaming Control and Revenue Act, 1996 IL 1, MCL 432.212, an
16 internet gaming operator is not subject to any excise tax, license
17 tax, privilege tax, occupation tax, or other tax, payment, or fee
18 imposed exclusively on an internet gaming operator or internet
19 gaming operators by this state or any political subdivision of this
20 state, except as provided in this act. This subsection does not
21 impair the contractual rights under an existing development
22 agreement between a city and an internet gaming operator that holds
23 a casino license under the Michigan Gaming Control and Revenue Act,
24 1996 IL 1, MCL 432.201 to 432.226.

25 (5) In addition to payment of the tax and other fees as
26 provided in this act, and to any payment required pursuant to an
27 existing development agreement described in subsection (4), if a
28 city has imposed a municipal services fee equal to 1.25% on a
29 casino licensee, the city shall charge a 1.25% fee on the adjusted



gross receipts of an internet gaming operator that holds a casino license under the Michigan Gaming Control and Revenue Act, 1996 IL 1, MCL 432.201 to 432.226, whose casino is in that city.

Sec. 16. (1) The internet gaming fund is created in the state treasury.

(2) The state treasurer may receive money or other assets required to be paid into the fund under this act or from any other source for deposit into the fund. The state treasurer shall direct the investment of the fund. The state treasurer shall credit to the fund interest and earnings from fund investments.

(3) The board is the administrator of the fund for auditing purposes.

(4) Except as otherwise provided in section 15(2), the board shall expend money from the fund, on appropriation, for all of the following:

(a) The costs incurred by the board in regulating and enforcing internet gaming under this act.

(b) The costs incurred by the executive director or board in the administration and enforcement of millionaire party activity under the Traxler-McCauley-Law-Bowman bingo act, 1972 PA 382, MCL 432.101 to 432.152.

(c) After the expenditures under subdivisions (a) and (b), each year, \$3,000,000.00 to the compulsive gaming prevention fund created in section 3 of the compulsive gaming prevention act, 1997 PA 70, MCL 432.253.

(d) After the expenditures under subdivisions (a), (b), and (c), each **fiscal** year, ~~\$2,000,000.00 to an amount, not to exceed~~ **\$7,000,000.00, to the Christopher R. Slezak first responder presumed coverage fund created in section 405 of the worker's**



1 **disability compensation act of 1969, 1969 PA 317, MCL 418.405, to**
 2 **pay 50% of the costs incurred in the payment of approved claims and**
 3 **the administration of** the Christopher R. Slezak first responder
 4 presumed coverage fund ~~created in under~~ section 405 of the worker's
 5 disability compensation act of 1969, 1969 PA 317, MCL 418.405.

6 **(e) After the expenditures under subdivisions (a), (b), (c),**
 7 **and (d), each year, \$1,000,000.00 to the Michigan strategic fund**
 8 **created in section 5 of the Michigan strategic fund act, 1984 PA**
 9 **270, MCL 125.2005, for distribution to federally recognized tribal**
 10 **governments in Michigan for essential government services. The**
 11 **funds must be distributed according to an allocation plan**
 12 **recommended by the Inter-Tribal Council of Michigan.**

13 **(f) ~~(e)~~**All money remaining after expenditures under
 14 subdivisions (a), (b), (c), ~~and (d)~~, **and (e)** to be deposited into
 15 the state school aid fund established under section 11 of article
 16 IX of the state constitution of 1963.

17 (5) As used in this section, "executive director" means that
 18 term as defined in section 2 of the Traxler-McCauley-Law-Bowman
 19 bingo act, 1972 PA 382, MCL 432.102.